

Chapter 1 - Introduction to Managerial Accounting

Learning Objectives

What is Managerial Accounting? How does it differ from Financial Accounting?

Manager's primary responsibilities

Ethics and Internal Reporting

What is Management Accounting

Management accounting measures, *analyzes*, and *reports* financial AND nonfinancial information for planning and decision making.

Management accounting – NO need not be compliant with GAAP

Non-standard - tailored for each organization.

Managers use management accounting information to:

- Develop, communicate, and implement strategies, and
- Help in all phases of an organization including product design, production, distribution, sales, and performance measurement.

Focus of these reports is on internal users

- Both backward and forward looking – analyze past performance and help future profitability
- Strategic focus
- Timeliness

What is Financial Accounting

Financial accounting - reporting financial information to external parties such as investors, governmental agencies (SEC and the IRS), creditors, banks, etc.

Financial accounting reports must follow GAAP

Focus on past performance, adherence to standards, scheduled reports

What is Cost Accounting

Cost accounting measures, analyzes and reports on cost of acquiring and using resources in an organization to support management decisions.

Cost accounting is part of management accounting.

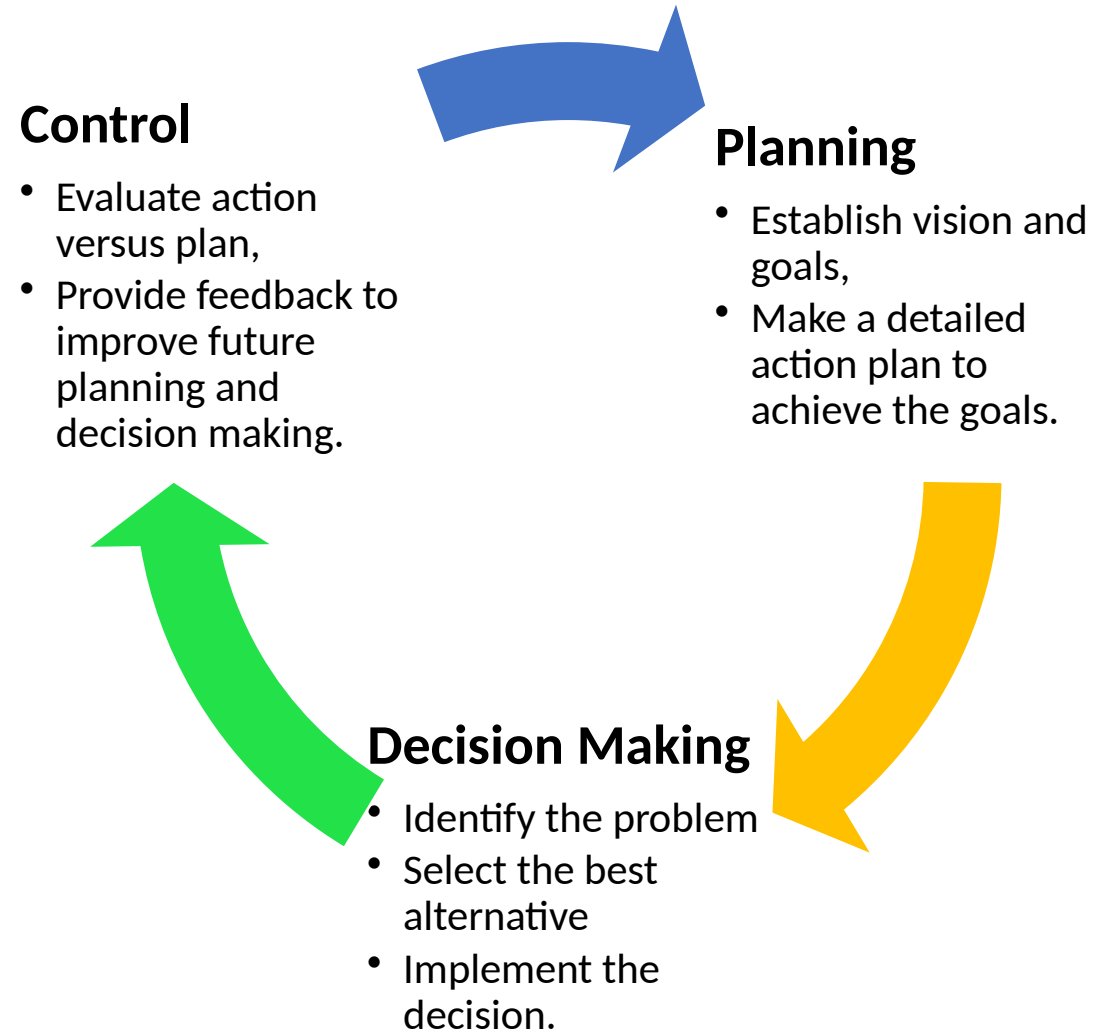
These two terms are used interchangeably.

Managerial Accounting Objective

Strategy –
how an
organization
plans to use
its capabilities
to exploit the
opportunities
available

- Cost leadership
- Product differentiation
- Management accounting helps make strategic decisions by answering
 - Who are our most important customers? What do they value and how can we deliver it in the most competitive manner?
 - What is the bargaining power of our customers and our suppliers? What are the substitutes for our products? Who are our competitors?
 - What resources do we have? How can we raise more resources? What will it cost and how do we deliver value to our shareholders?

Manager's primary responsibilities



Ethics and Internal Reporting

Managers are increasingly being held responsible for creating and maintaining an ethical work environment including the reporting of accounting information.

Ethics refers to the standards of conduct for judging right from wrong, honest from dishonest, and fair from unfair. Many situations in business require accountants and managers to weigh the pros and cons of alternatives before making final decisions.



Think about it – Ethical behavior

Consider the following scenario between Michelle, a printer, and Kelly, an assistant in the University's athletic department.

Kelly: Michelle, our department needs to have 10,000 posters printed for the football team. Here's the mock-up. We will need them in two weeks. How much will you charge?

Michelle: Well, given the costs for ink and paper, it will be around \$5,000.

Kelly: Great, here's what I want you to do. Print me up an invoice for \$6,000. That's the budget. Then, when they pay you, give me \$1,000. I'll make sure that you get the job.

Is this ethical? What should Michelle do?